

Investment Manager Due Diligence Questionnaire — Completed Draft

Manager: Chester Asset Management Pty Ltd
Product: Chester High Conviction Fund (APIR: OPS7755AU)
Generated by Othello Data Room · finalised draft

Business

Applies to the investment manager with direct responsibility for investment decision-making.

Business inception date

Status: Generated from knowledge base

Chester Asset Management was established in 2017. The Chester High Conviction Fund launched in April 2017 and is run on the same basis as the predecessor SGH Australia Plus Fund, which had a 3.5 year track record. Lead Portfolio Manager Rob Tucker has managed money on the same approach since 2005, including five years running the HSBC Australian Country Funds from Hong Kong.

Business ownership and structure

Status: Generated from knowledge base

Chester Asset Management Pty Ltd is a boutique Australian equities manager, established in April 2017 by Rob Tucker and Anthony Kavanagh. It is 100% employee-owned by its three Portfolio Managers, Rob Tucker, Anthony Kavanagh and Luke Howard, with no external or institutional shareholders, and there are no planned changes to the ownership structure. Copia Investment Partners Ltd provides Responsible Entity, distribution and administration services for the Chester High Conviction Fund, which lets the five-person investment team concentrate on portfolio management.

References: Diversa · sheet 2.1.4 · FSC CHCF pp.23-26

Has ownership or structure changed in the last 5 years?

Status: Generated from knowledge base

There have been no changes to business ownership or structure over the last five years. The business is well funded and continues to grow.

Total firm-wide FUM (Firm Wide, in AUD)

Status: Manually validated

Total firm-wide funds under management were A\$2,310 million as at 31 May 2026 (manually confirmed). Australian equities is the firm's sole asset class. Recent history: A\$933.82m (31 December 2023), A\$1,341.85m (31 December 2024) and A\$2,234.43m (31 December 2025).

References: Diversa · sheet 1.2.6

Is the business a single-strategy business?

Status: Generated from knowledge base

Chester is a boutique Australian equities manager applying a consistent, high-conviction philosophy across its products. It operates effectively as a single-strategy business, with some variation around the same core approach. There are three products: Chester High Conviction (retail, all-cap, led by Rob Tucker), Chester Mid-Cap (mandate, same philosophy, led by Rob Tucker) and Chester Opportunities (wholesale, small-cap, led by Anthony Kavanagh).

Licensing & Compliance

Licensing, regulatory standing and governance of the manager and Responsible Entity.

AFSL / Corporate Authorised Representative and special conditions

Status: Generated from knowledge base

Chester Asset Management Pty Ltd operates as a Corporate Authorised Representative of Copia Investment Partners Ltd (ABN 22 092 872 056), which holds Australian Financial Services Licence No. 229316. Copia is also the Responsible Entity for the Chester High Conviction Fund, and a copy of the licence is attached. The AFSL contains no special conditions beyond those standard for licensees of its class; its authorisations cover dealing in and advising on interests in managed investment schemes, and operating registered schemes. Copia supervises Chester's authorised-representative activities under its licensee monitoring program.

References: 2 Copia AFSL.pdf · FSC CHCF p.1

Regulatory standing

Status: Generated from knowledge base

There have been no ASIC enforceable undertakings, reportable breaches or non-routine regulator interactions in the past five years.

References: Diversa · Q2.5.4

Governance and board oversight

Status: Generated from knowledge base

Chester's governance, risk and compliance frameworks, including its internal-controls environment, are overseen by the Copia Board: Bruce Loveday (Chairman), Sam Cole (Director), Sally McDow (Director) and Michael Voskresensky (Company Secretary). No members of the investment team have operational duties. The front-office function operates independently of the back office, which is provided by the Responsible Entity.

Internal controls assurance (GS007)

Status: Generated from knowledge base

Both Copia and Chester are independently assured under GS007 / ASAE 3402 Type 2 for FY2025, each with a signed audit opinion.

References: Copia GS007 2025 · Chester GS007 2025

People

The investment manager and team with direct responsibility for investment decision-making.

Business headcount and change over three years

Status: Generated from knowledge base

The investment team has five members (five in 2025, five in 2024, and three, briefly four, in 2023). All five are investment professionals. Operations, distribution, marketing and administration are provided by Copia, which employs 23 staff across Victoria, New South Wales and Queensland.

Key investment staff and biographies

Status: Resolved via information request

Rob Tucker is Managing Director and Portfolio Manager, with 26 years of industry experience. Anthony Kavanagh is a Portfolio Manager with 16 years of experience. Luke Howard is a Portfolio Manager. All three are based in Melbourne and are co-owners of the business.

References: Fund Manager bios.docx · FSC CHCF pp.23-26

Remuneration and alignment

Status: Generated from knowledge base

Portfolio Managers receive a base salary plus a performance component linked to the investment outcomes of the Fund. Alignment with investors is supported by co-investment in the Fund by the investment team, and by the firm being 100% employee-owned.

Succession and key-person risk

Status: Generated from knowledge base

Key-person risk is shared across the three Portfolio Managers, who use the same philosophy and process, and each strategy has a designated back-up decision-maker. Succession planning is in place for the senior investment staff.

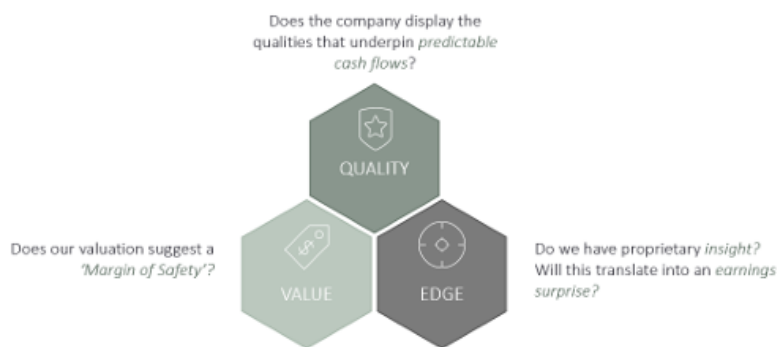
Investment process & philosophy

Investment philosophy, research and portfolio-construction approach for the product.

Investment philosophy (as it relates to this product)

Status: Generated from knowledge base

Chester's core belief is that markets are not perfectly efficient: investor biases and other market forces create exploitable gaps between share prices and intrinsic value. The team looks for three signals, summarised as Quality, Valuation and Edge. Quality means unusually predictable cash flows, reflected in a company's ability to generate free cash flow. Valuation means a clear margin of safety. Edge means a proprietary insight from research that points to a probable earnings surprise. The relative importance of the three signals varies with the type of company, based on the predictability and cyclicity of its cash flows. For the Chester High Conviction Fund this produces a concentrated portfolio of 25 to 40 stocks drawn primarily from the S&P/ASX 300, with up to 10% in non-index (pre-IPO) names and up to 20% cash. The Fund aims to outperform the S&P/ASX 300 Accumulation Index by 5% p.a. before fees over rolling three-year periods, with expected tracking error of 5 to 10%.



Chester's Quality, Valuation and Edge framework.

References: FSC CHCF · Q13.2 (pp.2-3) · FSC CHCF · Q13.7 (pp.4-8)

Overarching style

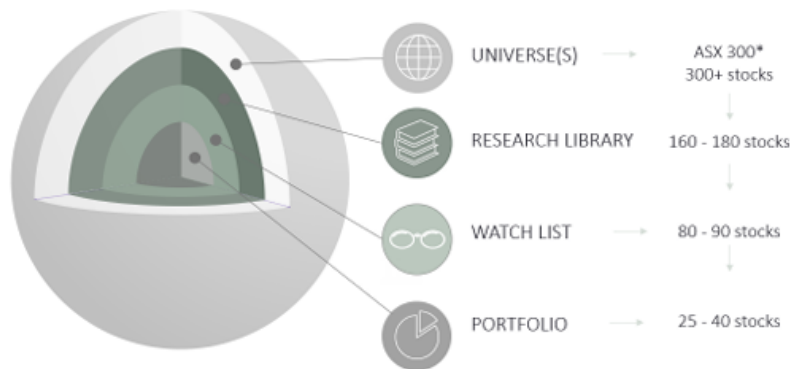
Status: Generated from knowledge base

The Fund is high-conviction and active, with a flexible style bias. Its emphasis on free-cash-flow generation means it generally shows growth characteristics, but valuation support must be present to provide a margin of safety. Chester will also take more contrarian positions where it believes the market has mispriced a company by extrapolating a weak near-term outlook.

Research process and idea generation

Status: Generated from knowledge base

Research is done in-house, drawing on Chester's proprietary company financial models. The investable universe is ASX-listed or soon-to-be-listed companies, focused on the largest 300 by market capitalisation, with up to 10% in pre-IPO names expected to list within 12 months and 0 to 20% cash. Long-term thematic and sector trends, for example AI, the energy transition, demographic change and fiscal stress, focus the research effort rather than set portfolio weights, and every idea still requires bottom-up validation, valuation support and a company-specific insight. Companies are grouped by economic characteristics, predictable cash generators (around 60 to 65%), cyclicals (around 15 to 25%) and defensives, rather than by GICS sector. The process narrows a universe of 300-plus stocks to a watch list of roughly 70 to 90, and a final portfolio of 25 to 40.



From the investable universe to the portfolio.

Position sizing and portfolio construction

Status: Generated from knowledge base

The portfolio holds 25 to 40 stocks, sized by conviction rather than by benchmark weight. When a holding's weight moves 50 basis points away from its model-portfolio target, that triggers a review of the position. A strict buy discipline and an active sell discipline keep positions under continual challenge; the small, focused team maintains daily dialogue so existing holdings are reviewed against the original thesis. Analysts prepare downside as well as upside scenarios in their models, and a position that falls materially is re-underwritten.



Buy and sell discipline.

References: FSC CHCF · Q13.7 (pp.4-8)

Is the strategy benchmark-aware?

Status: Generated from knowledge base

The strategy is benchmark-unaware, with no targeted sector weightings. The S&P/ASX 300 is used to measure performance, not to constrain how the portfolio is built.

Performance & Portfolio

Benchmark, objectives, fees and capacity for the product.

Performance benchmark

Status: Generated from knowledge base

S&P/ASX 300 Accumulation Index.

Return objective

Status: Generated from knowledge base

To outperform the S&P/ASX 300 Accumulation Index by 5% p.a. before fees over rolling three-year periods.

References: FSC CHCF · Q13.4 (p.3)

Risk objective

Status: Generated from knowledge base

There is no separate risk objective. The Fund is built for investors who want to grow capital while preserving it, with expected tracking error of 5 to 10%.

Fee structure

Status: Generated from knowledge base

The base management fee is 0.95% p.a. A performance fee of 15% applies to returns above the benchmark, accrued daily and paid quarterly, subject to a high-water mark. Over the past five years the performance fee has averaged about 0.45% p.a.

Strategy capacity

Status: Manually validated

Estimated capacity for the retail strategy is about A\$2.9 billion. Capacity was last reviewed in March 2026.

Use of derivatives

Status: Generated from knowledge base

The Fund does not use derivatives and is not geared.

Operations & Risk

Insurance, service providers, risk controls and continuity.

Certificates of currency for each policy of insurance

Status: Resolved via information request

The Manager holds the following insurance program, placed with Chubb Insurance Australia Ltd. Certificates of currency for all five policies are attached.

Policy	Insurer	Limit	Expiry
Professional Indemnity	Chubb Insurance Australia Ltd	\$10m	26 Oct 2026
Directors & Officers	Chubb Insurance Australia Ltd	\$10m	26 Oct 2026
Electronic & Computer Crime	Chubb Insurance Australia Ltd	\$2m	14 Sep 2026
Fraud	Chubb Insurance Australia Ltd	\$20m	26 Oct 2026
Cybersecurity	Chubb Insurance Australia Ltd	\$2m	14 Sep 2026

References: Chubb Combined CoC 2026.pdf

Key service providers

Status: Generated from knowledge base

Responsible Entity: Copia Investment Partners Ltd. Custodian: State Street (master custodian) with HSBC as sub-custodian. Fund auditor: EY.

Risk controls and oversight

Status: Generated from knowledge base

Risk is managed through stock, sector and cash limits, with no leverage. Portfolio risk and compliance are overseen by Copia's risk and compliance function, separately from the investment team. Stress tests and scenario analysis are run on the portfolio periodically.

Business continuity and disaster recovery

Status: Generated from knowledge base

Chester maintains a documented business continuity and disaster recovery plan as part of its policy framework.

References: BCP & DR Plan